

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-17

BAKERLY, LLC

COMPLAINANT,

v.

SEAFRIGO USA INC.

RESPONDENT.

**COMPLAINANT’S MEMORANDUM IN SUPPORT OF MOTION FOR PARTIAL
SUMMARY DECISION**

I. Introduction

Complainant Bakerly, LLC (“Complainant”) submits this memorandum in support of its Motion for Partial Summary Decision requesting that the Commission find that for the shipments in subject proceeding, which required door delivery by Seafrigo USA, Inc. to Complainant’s warehouse facilities, the risks for the underlying ocean carrier’s demurrage charges were specifically assumed by Seafrigo pursuant to the terms and conditions of Seafrigo’s bills of lading and applicable rules in Seafrigo’s Rules Tariff which clearly establish this allocation of demurrage risk to Seafrigo.

In view of the fact that the total demurrage charges in dispute (\$2,357,244.53) which were either charged and paid by Complainant (\$973,227.05) or were charged and not paid by

Complainant (\$1,384,017.48) comprise a large portion of the claims and disputes in this proceeding, the issue raised herein as to the legal obligations of the parties *vis a vis* demurrage incurred and charged by the ocean common carrier and/or its agent terminal is an indispensable determinative factor as to deciding the relative responsibilities of the parties as to who is liable for that demurrage. See Verified Complaint ¶ 22 (**Attachment A**); Respondent's Answer ¶ 22 (**Attachment B**) (admitting the amounts of D&D charges, including demurrage). It is Complainant's position, as will be demonstrated in this Memorandum, that Seafrigo's Rules Tariff clearly allocate demurrage risks to Seafrigo in door delivery transactions which apply to all the ocean transport transactions subject of this proceeding. A decision on this issue at this point in the case—when the first set of discovery requests have been answered—contributes to judicial efficiency. *Ngobros and Company Nigeria Limited v. Oceane Cargo Link, LLC, and Kingston Ansah, Individually*, Fed. Mar. Comm'n No. 14-15 (Nov. 10, 2015). The parties need not wait until March to have this issue heard when the facts are not in dispute and Complainant is entitled to judgment as a matter of law on the basic issue of allocation of risk to Seafrigo with respect to the demurrage charged in this proceeding on door delivery shipments.

II. Statement of Uncontroverted Facts.

Here, there is no genuine dispute as to any material fact laid out here, as required in Rule 56 because, as cited throughout, Respondent's admissions, discovery responses, and Answer lay the foundation for these facts. Complainant Bakerly is a food importer of refrigerated cargo to the United States from France. (Compl. at ¶ 2.) Respondent Seafrigo is a non-vessel operating common carrier ("NVOCC") licensed by the FMC as that term is defined at 46 U.S.C. § 40102(17). (Answer ¶ 4.) Bakerly contracted with Seafrigo to provide transportation services. (Compl. Ex. 1 at ¶ 3.)

The following Seafrigo companies provided motor carrier transportation services in the

United States as Federal Motor Carrier Safety Administration (“FMCSA”) authorized motor carriers or as Property Brokers with authority to arrange motor carrier transportation with other FMCSA authorized motor carriers:

- a) Seafrigo Logistics USA Inc., Property Broker, U.S. DOT no. 2822764, MC-936320
- b) Seafrigo NA Coldstorage, Property Broker, U.S. DOT no. 2811603, MC-928441
- c) Seafrigo Transport USA, Inc., Property Broker/Motor Carrier, U.S. DOT no. 2497846, MC- 871075. (Admitted at Answer ¶ 6.)

Bakerly contracted with Seafrigo and the above companies related to Seafrigo to provide services on behalf of Seafrigo directly as motor carriers and to arrange for surface transportation as Property Brokers on behalf of Bakerly on a door delivery basis, according to the ocean bills of lading issued to Bakerly for ultimate delivery to its various locations in the U.S. and for the return of empty containers to appropriate terminals. (Answer ¶¶ 7, 11 (admitting door delivery terms); Respondent’s Response to Complainant’s First Set of Requests for Admission (“Seafrigo’s First Admissions”), (**Attachment C**) No. 2.)

The Negotiated Rate Arrangements (NRAs) and bills of lading had door delivery terms. (Answer ¶ 11 (admitting door delivery terms); Seafrigo’s First Admissions No. 8 (“Admit that the transportation at issue was for door delivery.”).) The house bills of lading defined Seafrigo as the “Carrier” and Bakerly as the “Merchant”:

- 2.2 • “Carrier” means SEAFRIGO USA INC OTI Licence [sic]
Number 003616NF, on whose behalf this Bill of Lading has been
signed.
- 2.3 • “Merchant” includes the Shipper, the Receiver, the Consignor,

the Consignee, the Holder of this Bill of Lading and any person having a present or future interest in the Goods or any person acting on behalf of any of the above-mentioned persons.

Compl. ¶ 13 (citing Exhibit 5) & Exhibit 5; Answer ¶ 13 (“Seafrigo asserts that the Seafrigo bill of lading terms and conditions, and Rules Tariff terms speak for themselves.”)

The section of the Rules Tariff which deals with free time, detention, and demurrage, as to demurrage, only provides that the Merchant would be liable when service is to port, and not to door. Rules Tariff at 15:

Rule 15 at Rules Tariff---FREE TIME, DETENTION AND DEMURRAGE

[. . .]

15.3:

The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

Id.; see also Seafrigo’s First Admissions No. 6.

Furthermore, Rule 17.2 Merchants Risk and Expense provides the following language:

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier’s bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pickup, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant’s facility on the other hand, **except to the extent the goods are door cargo; and (emphasis provided)**

(Seafrigo’s First Admissions No. 7 (admitting that the rule contains the cited language but not the

emphasis provided).)

Bakerly paid \$973,227.05 in demurrage and Seafrigo still seeks \$1,384,017.48 in demurrage that Bakerly has not paid. *See* Compl. ¶ 22; Answer ¶ 22. On July 22, 2022, Bakerly initiated this proceeding at the FMC, claiming that Seafrigo violated 46 U.S.C. § 41104(a)(2)(A) for charging demurrage and detention to Bakerly when the rates and bills of lading required door delivery and claiming that Seafrigo violated 46 U.S.C. §§ 41104(a)(14), (15); 41102(c) and 46 C.F.R. § 545 (the “Interpretive Rule on Demurrage and Detention Under the Shipping Act”) because the demurrage and detention charges were inconsistent and unreasonable given the door delivery requirement. On August 22, 2022, Seafrigo filed its Answer. The first set of discovery requests have been served and each party responded to the first set of discovery requests on November 2, 2022. Now, Bakerly moves for a partial summary decision as to the demurrage charges at issue: for a total of \$2,357,244.53. Based on the door delivery terms and the rest of the house bill of lading terms and the Rules Tariff, Bakerly is not liable for the demurrage charges as a matter of law.

III. Argument

A. Legal Standard

On a dispositive motion for a summary decision or a partial summary decision the Commission should, consistent with its procedural regulations, apply Rule 56 of the Federal Rules of Civil Procedure (“FRCP”) because no specific FMC Rule (under 46 C.F.R. § 502.70), applicable to dispositive motions, provides a standard. *See* 46 C.F.R. § 502.12 (“In proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice.”); *see also Maher Terminals, LLC, Complainant, v. the Port Authority of*

New York and New Jersey, Respondent., Fed. Mar. Comm’n No. 08-03 (Jan. 31, 2013).

FRCP 56 allows for a party (Complainant) to “move for summary judgment, identifying each claim or defense—or the part of each claim or defense—on which summary judgment is sought. The court shall grant summary judgment if the movant shows that there is no genuine dispute as to any material fact and the movant is entitled to judgment as a matter of law.” *See also Anderson v. Liberty Lobby, Inc.*, 477 U.S. 242, 247 (1986). A dispute over a material fact is “genuine” if “the evidence is such that a reasonable jury could return a verdict for the nonmoving party.” *Id.* at 248.

With respect to materiality, “the substantive law will identify which facts are material. Only disputes over facts that might affect the outcome of the suit under the governing law will properly preclude the entry of summary judgment.” *Maher Terminals, LLC v. the Port Auth. of New York and New Jersey*, Fed. Mar. Comm’n No. 08-03 (Jan. 31, 2013) (citing *Anderson*, 477 U.S. at 247; FRCP 56(a)). For summary decision, there must be no genuine issue for trial and the issue must be ripe for decision. *D.F. Young, Inc. v. Nyk Line (north America) Inc.*, Fed. Mar. Comm’n No. 16-02 (Aug. 1, 2017) (finding that at the summary judgment stage, the role of the judge is to determine whether there is a genuine issue for trial).

Here, Bakerly is entitled to judgment as a matter of law on the issue of demurrage: There is no genuine dispute of material fact as to the terms of the house bills of lading or Rules Tariffs that governed the shipments by Seafrigo. (See Compl. ¶ 13 (citing Exhibit 5) & Exhibit 5; Answer ¶ 13 (“Seafrigo asserts that the Seafrigo bill of lading terms and conditions, and Rules Tariff terms speak for themselves.”).) Both parties agree that the shipments were on a door delivery basis. (Answer ¶ 11 (admitting door delivery terms); Seafrigo’s First Admissions No. 8 (“Admit that the transportation at issue was for door delivery.”).) Because of that—and because no other term of

the agreement between Seafrigo and Bakerly limits the door delivery basis—Bakerly is not liable for demurrage charges as a matter of law. The demurrage charges were at the risk of Seafrigo because of the door delivery terms. Thus, the Commission should enter partial summary decision in favor of Complainant Bakerly with respect to demurrage paid by Bakerly to Seafrigo, and for amounts which remain unpaid.

B. No further discovery is required

As to the issue of demurrage, no further discovery is required by either side to obtain or proffer evidence in support of the issue of the terms of the contract for demurrage charges. *Ngobros and Company Nigeria Limited v. Oceane Cargo Link, LLC, and Kingston Ansah, Individually*, Fed. Mar. Comm’n No. 14-15 (Nov. 10, 2015) (finding that a summary decision was appropriate when the parties did not contest the factual allegations surrounding the allegations in the complaint and yet disputed the amount claimed). As described in the Statement of Uncontroverted Facts, the terms of the bill of lading are clear that the deliveries were on a door basis. (Compl. ¶ 13 (“the delivery obligations, consistent with the quotes in the pertinent NRAs, was to Bakerly’s door.”); Answer ¶ 13 (“Seafrigo asserts that the Seafrigo bill of lading terms and conditions and Rules Tariff speak for themselves.”); Seafrigo’s First Admissions No. 8 (“Admit that the transportation at issue was for door delivery.”).) The Complaint, Answer, and discovery responses have borne this out. (*Id.*) Therefore, no further discovery is required on this issue, as there is no dispute regarding the delivery terms.

C. Bakerly is not liable for demurrage charges because Seafrigo was delivering on a door basis

Because the transactions in this case only have service to door, Bakerly is not liable for demurrage charges. The law and facts in this matter strongly support the conclusion that a “door

delivery” commitment by Seafrigo, as stated in the NRAs and house bills of lading, allocate risk of demurrage charges to Seafrigo, except in some narrow circumstances where the culpability lies squarely with Bakerly. Seafrigo’s bill of lading terms and conditions, which adopt Seafrigo’s Rules Tariff, clearly underscore Seafrigo’s responsibilities and risks for demurrage in the “door delivery” context. (Answer ¶ 11 (admitting door delivery terms); Seafrigo’s First Admissions No. 8 (“Admit that the transportation at issue was for door delivery.”).)

Under 46 U.S.C. § 41104(a)(2), Seafrigo is required to provide service in accordance with the rates, charges, rules, and practices contained in Seafrigo’s published tariff. *CMI Distribution, Inc., Complainant, v. Service By Air, Inc., Radiant Customs Services Inc. (formerly Known As Sba Consolidators, Inc.) and Las Freight System Ltd. Respondents*, 2018 WL 1757670, at *14–15 (“46 U.S.C. § 41104(2) expressly provides that a common carrier may not provide service in the liner trade that is ‘not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff.’”). Therefore, Seafrigo may not operate under terms other than door delivery and may not arbitrarily assign demurrage risk to Bakerly when Seafrigo itself is not directly culpable for the demurrage costs. For settlement purposes only and without prejudice, Bakerly would be willing to drop its claims for demurrage incurred when it is determined or agreed that Bakerly or its warehouse agents were at fault.

D. The Bill of Lading and Rules Tariff are clear that Bakerly is not liable for demurrage charges

In its Answer, Respondent references Tariff Rule 9.4, Rule 15.2, and Rule 17.1 in its Answer stating that “the applicable bill of lading terms and conditions and Rules Tariff do not excuse Bakerly from its obligations to have space available for delivery of its containers or to timely empty containers and make them available for return.”

“Maritime contracts ‘must be construed like any other contracts: by their terms and consistent with the intent of the parties.’” *CITGO Asphalt Ref. Co. v. Frescati Shipping Co., Ltd.*, 589 U.S. ____; 140 S. Ct. 1081, 1087–88 (2020) (citing *Norfolk Southern R. Co. v. James N. Kirby, Pty Ltd.*, 543 U.S. 14, 31 (2004); 2 T. Schoenbaum, *Admiralty & Maritime Law* § 11:2, p. 7 (6th ed. 2018) (“[F]ederal maritime law includes general principles of contract law”). Respondent’s argument in the Answer is irrelevant to the issue of risk for demurrage that is the subject of this motion for partial summary decision because of the door delivery terms. First, Rule 9.4 uses the word “demurrage,” but the rule only applies to detention because it refers to Merchant returning the devanned containers:

Merchant undertakes to return such containers to Carrier within the time provided for in Carriers [sic] applicable tariff; otherwise, Merchant shall pay Carrier for the demurrage or detention charges applicable to the containers.

(Seafrigo’s First Admission No. 5 (admitting Paragraph 9 of the Rules).) Therefore Rule 9.4 is not at issue in this motion for partial summary judgment as to demurrage.

Second, under the other Rules Tariff terms (Rules 15, 17) demurrage risk is not allocated to Bakerly because of the door delivery terms. Rule 15.2 only applies to detention and mistakenly and inconsistently includes “demurrage” charges for actions relating to detention:

RULE: 15 Effective: 22Feb2017 (I)(R)

FREE TIME, DETENTION AND DEMURRAGE

15.1 Carrier is a non-vessel operating common carrier and the equipment it uses to provide transportation services to Merchant is provided by the vessel-operating common carrier (VOCC) that operates the vessel transporting the cargo.

15.2 The VOCC imposes detention charges if empty containers released for loading and/or loaded containers released for unloading are not returned within a specified period of time (free time). Merchant shall be liable to Carrier for any detention charges

imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

15.3 The VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified period of time (free time). Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC as a result of Merchants failure to return containers within applicable free time.

(Seafrigo's First Admission No. 6.) Furthermore, Rule 15.3 excepts door deliveries: "Where service is port at destination and removal of containers from the VOCCs marine terminal is responsibility of Merchant, Merchant shall be liable to Carrier for any demurrage charges imposed on Carrier by VOCC." (Seafrigo's First Admission No. 6.)

Finally, Rule 17.1 carries an exception for door deliveries because a door delivery makes the Carrier liable for demurrage:

Merchant acknowledges and agrees that Carrier, as an NVOCC, does not own or operate equipment (i.e., chassis or by the containers). Merchants use of chassis and containers shall be subject to the requirements of the VOCCs and/or chassis leasing companies that own and/or operate the containers and chassis used to transport Merchants cargo. Merchant, by tendering shipments to Carrier for transportation, appoints Carrier as its agent for acquiring containers and chassis for such transportation and agrees to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier.

(Compl. ¶ 13 (citing Exhibit 5) & Exhibit 5; Answer ¶ 13 ("Seafrigo asserts that the Seafrigo bill of lading terms and conditions, and Rules Tariff terms speak for themselves.").)

More importantly, the section immediately after 17.1, noted above, 17.2.1, again, clearly states the concept that the Merchant on a door move is not liable for demurrage reinforcing the other Rules Tariff provisions which exclude Bakerly from demurrage charges:

17.2 Merchants Risk and Expense

Except as otherwise specifically provided in this Tariff Rule, and Carrier's bill of lading terms and conditions, the following shall be at the Merchants risk and all expenses in connection therewith shall be for the Merchants account:

1. The pickup, transport, and delivery of the containers/goods moving between the port of loading or port of discharge on the one hand, and Merchant's facility on the other hand, **except to the extent the goods are door cargo; and**

Rule 17.2 (emphasis provided).

Here, the contract is clear that Bakerly is not liable for demurrage charges because of the door delivery terms, and when "language of a contract is clear, summary judgment is appropriate." *Harris Trust & Sav. Bank v. John Hancock Mut. Life Ins. Co.*, 970 F.2d 1138, 1147 (2d Cir. 1992). Further, any inconsistencies should be resolved in Bakerly's favor because, as the carrier, Seafrigo drafted the terms. *See Monica Textile Corp. v. S.S. Tana*, 952 F.2d 636, 643 (2d Cir. 1991) ("The Court is mindful of the well-established rule that ambiguities in the bill of lading must be resolved against the carrier.").

III. Conclusion.

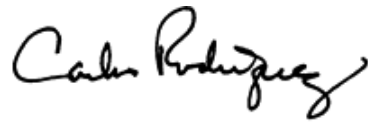
Bakerly respectfully requests that the Commission grant this Motion for Partial Summary Decision because Bakerly is entitled, as a matter of law, to the partial summary decision that there is no genuine issue of fact as to the Rules Tariff provisions that establish the allocation of demurrage risk and demurrage charges based on the door delivery terms, except to the extent that Bakerly itself directly caused that demurrage. The fact issue that this is the applicable standard in the allocation of demurrage charges in this proceeding is undeniable and will substantially benefit the resolution of this case, either by adjudication or settlement.

The timing for a partial summary decision is appropriate because further discovery is unnecessary on this point, nothing in this motion interferes with the Scheduling Order, and a

decision on this point would enhance the efficiency of the proceeding. Further discovery is unnecessary because the requested judgment is based on the terms and conditions of the bill of lading and Rules Tariff terms, which are undisputed by the parties. And nothing herein interferes with the Scheduling Order. Finally, the resolution of this issue will enhance the efficient disposition of the case because this case would not go to briefing for another four months. *Cf.* Scheduling Order, 22-17 (“Dispositive motions after discovery are disfavored as it is more efficient to move to a hearing on the merits.”).

Dated: November 22, 2022

Respectfully Submitted:

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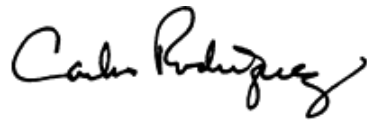
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 22nd day of November 2022, a true and current copy of the foregoing Motion for Partial Summary Decision and Memorandum in support was filed via electronic mail with the Federal Maritime Commission, and a copy was served via electronic mail on the following counsel:

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